

Introduction to Sustainability & ESG

What is Sustainability?

Sustainability refers to a development approach that meets the needs of the present without compromising the ability of future generations to meet their own needs.

It is based on the **Triple Bottom Line (TBL)**:

- **Environment**
- **Society**
- **Economy**

What is ESG?

ESG = Environmental, Social & Governance

It is a framework used to evaluate how responsibly and sustainably an organization is operating.

Why ESG Matters?

- Investors increasingly rely on ESG data for decision-making.
- Enhances long-term business resilience.
- Helps manage risks and improve brand reputation.
- Responds to regulatory requirements and stakeholder expectations.

2. ESG Framework: Components & Examples

A. Environmental (E)

Concerns how an organization impacts the natural environment.

Examples:

- Carbon emissions (GHG emissions)
- Energy efficiency & renewable energy use
- Waste management
- Water management
- Pollution & resource conservation

B. Social (S)

Focuses on the organization's relationship with employees, customers, and communities.

Examples:

- Labor rights & working conditions
- Diversity, equity & inclusion
- Health and safety
- Community engagement
- Product responsibility and consumer safety

C. Governance (G)

Addresses how the company is directed and controlled.

Examples:

- Board structure & independence
 - Anti-corruption policies
 - Ethical business practices
 - Transparency & reporting
 - Executive compensation
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3. Sustainability Reporting Standards & Guidelines

Sustainability reporting follows globally recognized frameworks to ensure consistency and comparability.

A. GRI – Global Reporting Initiative

- Most widely used sustainability reporting framework worldwide.
- Focuses on **stakeholder impact**.
- Three types of standards:
 - **Universal Standards**
 - **Sector Standards**
 - **Topic Standards** (Economic, Environmental, Social)

Key Features:

- Comprehensive and transparent
- Suitable for organizations of all types and sizes

B. SASB – Sustainability Accounting Standards Board

- Focuses on **financially material** sustainability issues.
- Standards are **industry-specific** (77+ industries).
- Designed primarily for **investors**.

Purpose:

To show how ESG issues affect a company's financial performance.

C. TCFD – Task Force on Climate-Related Financial Disclosures

Focuses on **climate-related risks and opportunities**.

TCFD has **four pillars**:

1. **Governance**
2. **Strategy**
3. **Risk Management**
4. **Metrics & Targets**

Objective:

To help companies disclose how climate change affects their business risks and financial planning.

Difference Summary

Framework	Focus
GRI	Overall sustainability impact on stakeholders
SASB	Financially material ESG topics (investors)
TCFD	Climate-related financial risks

4. Carbon Accounting & Climate-Related Disclosures

What is Carbon Accounting?

Carbon accounting is the measurement, tracking, and reporting of greenhouse gas (GHG) emissions produced by an organization.

It follows the **GHG Protocol**.

GHG Protocol: Three Scopes

Scope 1: Direct Emissions

- Emissions from owned or controlled sources (e.g., company vehicles, generators, industrial processes)

Scope 2: Indirect Emissions

- Emissions from purchased electricity, steam, heating, or cooling.

Scope 3: Value Chain Emissions

- All other indirect emissions (e.g., supply chain, transportation, employee commuting, waste disposal)
 - Usually the **largest portion** of a company's carbon footprint.
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Why Carbon Accounting Matters

- Helps set Net Zero and carbon reduction targets.
 - Required by regulatory agencies and reporting frameworks.
 - Supports investors assessing climate risk.
 - Improves operational efficiency and reduces costs.
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5. Climate-Related Disclosures

Organizations disclose:

- Climate-related **physical risks** (e.g., floods, storms, heatwaves)

- **Transition risks**
(e.g., policy changes, carbon tax, technology shifts)
- Emission reduction goals
- Climate-related metrics and targets
- Carbon footprint (Scopes 1, 2, 3)

These disclosures improve transparency and help stakeholders understand long-term climate impacts.

Conclusion

By the end of this lecture, students should understand:

- ✓ **What Sustainability and ESG mean**
- ✓ **Why ESG is important for modern organizations**
- ✓ **Key differences among GRI, SASB, TCFD**
- ✓ **How Carbon Accounting works**
- ✓ **Scopes 1, 2, and 3 of GHG emissions**
- ✓ **Basics of climate-related risk disclosure**

Corporate Governance & Ethics II

Lecture Outline

1. Regulatory Frameworks: **SOX, SEC, Basel Norms**
 2. Whistleblowing & Corporate Accountability
 3. Guest Lecture Module: **Audit Professional on Ethics**
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1. Regulatory Frameworks: SOX, SEC & Basel Norms

1.1 Introduction to Regulatory Governance

Regulatory frameworks are systems of rules, standards, and oversight bodies created to ensure transparency, protect stakeholders, minimize corporate misconduct, and maintain the stability of capital markets.

They guide how corporations report, audit, and govern themselves.

1.2 Sarbanes–Oxley Act (SOX), 2002

SOX is a U.S. federal law passed after major corporate scandals (Enron, WorldCom). It strengthened corporate governance and restored public confidence in financial reporting.

Key Objectives

- Prevent accounting fraud
- Increase accuracy and reliability of financial statements
- Strengthen oversight of auditors and corporate executives

Important Sections

- **Section 302:**
CEOs & CFOs must certify the accuracy of financial reports.
False certification = criminal penalties.
- **Section 404:**
Companies must maintain and report on **internal controls** over financial reporting (ICFR).
External auditors must review these controls.

- **Section 802:**
Penalties for destroying/altering documents.
Minimum 5–20 years imprisonment if violated.

Impact of SOX

- Increased transparency
- Higher auditing standards
- Enhanced corporate accountability
- Strengthened board & audit committee roles

1.3 SEC (Securities & Exchange Commission)

The SEC is the primary regulator of the U.S. securities markets.

Functions of the SEC

1. **Protect investors**
2. **Maintain fair, orderly, and efficient markets**
3. **Facilitate capital formation**

Key Governance and Ethical Requirements

- Mandatory financial disclosures (10-K, 10-Q, Proxy statements)
- Enforcement against insider trading, market manipulation
- Oversight of stock exchanges, auditors, and investment firms

Relevance for Corporate Governance

- Ensures board independence
- Ensures transparent reporting
- Ensures strong investor protections
- Supports whistleblowing (Dodd-Frank Whistleblower Program)

1.4 Basel Norms (I, II, III)

Basel norms are international banking regulations issued by the **Basel Committee on Banking Supervision (BCBS)**.

They aim to strengthen the global financial system.

Basel I (1988)

- Introduced the concept of **Capital Adequacy Ratio (CAR)**
- Banks must maintain minimum capital relative to risk-weighted assets

Basel II (2004)

Three Pillars:

1. **Minimum Capital Requirements**
2. **Supervisory Review**
3. **Market Discipline**

Basel III (2010–2017)

Introduced after the 2008 financial crisis.

Key Features:

- Higher capital requirements
- **Liquidity Coverage Ratio (LCR)**
- **Net Stable Funding Ratio (NSFR)**
- Leverage ratio requirements
- Better risk management & governance practices

Relevance to Ethics & Governance

- Encourages transparency in risk reporting
- Protects depositors and financial stability
- Promotes ethical lending & investments

2. Whistleblowing & Corporate Accountability

2.1 What is Whistleblowing?

Whistleblowing is the act of reporting unethical, illegal, or fraudulent activities within an organization.

Examples:

- Financial fraud
 - Bribery or corruption
 - Environmental violations
 - Insider trading
 - Harassment or discrimination
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2.2 Types of Whistleblowing

- **Internal** – Reporting within the company (HR, audit committee)
 - **External** – Reporting to regulators (SEC, media, police)
 - **Anonymous** – Hidden identity through hotlines or online portals
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2.3 Importance of Whistleblowing

- Protects public interest
 - Detects fraud early
 - Strengthens accountability
 - Improves organizational culture
 - Protects investor confidence
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2.4 Barriers to Whistleblowing

- Fear of retaliation
 - Cultural resistance
 - Lack of confidence in reporting mechanisms
 - Lack of legal protection
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2.5 Legal Protections for Whistleblowers

- **SOX protections** against retaliation (reinstatement, back pay)
 - **Dodd-Frank Act:** Monetary rewards for reporting significant violations to SEC
 - Anti-retaliation rules in many countries (including Bangladesh Anti-Corruption Commission laws)
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2.6 Corporate Accountability Mechanisms

- Independent audit committees
 - Strong internal controls
 - Transparent reporting
 - Code of ethics
 - Regular audits
 - Ethical leadership & tone at the top
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3. Guest Lecture Module: Audit Professional on Ethics

Assume you have invited an experienced auditor (internal/external) to speak.
Below is a ready-made structure:

Guest Speaker Introduction (2–3 minutes)

“Today we have an audit professional who will talk about the crucial role of ethics in auditing and corporate governance.”

Key Talking Points for the Guest Lecturer

1. The Role of Auditors in Corporate Governance

- Ensuring fairness of financial statements
 - Evaluating internal controls
 - Detecting irregularities & fraud
 - Reporting independently to the audit committee
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2. Ethical Principles for Auditors

- **Integrity** – being honest & truthful
- **Objectivity** – avoiding conflicts of interest
- **Professional Competence** – continuous learning
- **Confidentiality** – safeguarding client data

- **Professional Behavior** – complying with laws & standards
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3. Ethical Dilemmas Auditors Face

- Pressure from management
 - Manipulated financial statements
 - Conflicts of interest with consulting services
 - Gifts, bribery, or influence attempts
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4. How Auditors Uphold Ethics

- Following **IFAC Code of Ethics**
 - Strong documentation
 - Independent judgment
 - Immediate escalation of misconduct
 - Maintaining professional skepticism
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5. Real-World Examples

(Optional for speaker)

- Enron–Arthur Andersen collapse
 - Lehman Brothers Repo 105 case
 - Bangladeshi banking sector fraud cases (e.g., Hallmark, Basic Bank)
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Closing Message from Guest Lecturer

“Ethical behavior is the backbone of professional auditing. Without ethics, corporate governance collapses and financial markets lose trust.”

Conclusion of the Lecture

Students should now understand:

- ✓ SOX, SEC & Basel norms and their role in governance
- ✓ Importance of whistleblowing for accountability
- ✓ How ethical auditors help protect stakeholders
- ✓ Real-world implications of corporate governance failures

Lecture: Sustainability & ESG Reporting – II

1. Green Finance and Sustainable Investments

1.1 What is Green Finance?

Green finance refers to financial activities that support environmentally sustainable outcomes. It includes investments, loans, and financial instruments that directly contribute to reducing carbon emissions, increasing renewable energy adoption, and promoting overall environmental sustainability.

1.2 Key Components of Green Finance

- **Green Bonds:**
Bonds issued to finance environmentally friendly projects such as solar farms, wind energy, or water efficiency systems.
- **Green Loans:**
Loans provided to businesses/projects meeting environmental criteria (e.g., energy-efficient buildings).
- **Climate Funds:**
Public and private funds supporting climate mitigation and adaptation programs (e.g., Green Climate Fund).
- **Sustainable Banks & ESG-driven Funds:**
Financial institutions that allocate capital based on sustainability metrics.

1.3 Sustainable Investments

Sustainable investing integrates environmental, social, and governance (ESG) criteria into investment decisions.

Different approaches include:

- **ESG Integration:** Using ESG metrics in financial analysis.
- **Socially Responsible Investing (SRI):** Avoiding harmful sectors (tobacco, weapons, coal).
- **Impact Investing:** Targeting measurable positive social or environmental impacts.
- **Thematic Investing:** Focus on themes such as renewable energy, clean tech, or water conservation.

1.4 Benefits of Green Finance

- Helps transition to low-carbon economies
- Reduces climate-related risks
- Improves corporate reputation
- Ensures long-term returns for investors

- Encourages innovation in sustainability technologies
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2. Role of Accountants in Corporate Social Responsibility (CSR)

Accountants play a crucial role in ensuring transparency and credibility in CSR practices.

2.1 Key Roles of Accountants

- 1. Measuring CSR performance**
 - Tracking carbon emissions, waste reduction, energy use, and social impact.
- 2. Non-financial Reporting**
 - Preparing sustainability reports following frameworks like GRI, SASB, and Integrated Reporting (IR).
- 3. Assurance Services**
 - Providing external assurance on ESG-related information to increase trust among stakeholders.
- 4. Risk Management**
 - Identifying environmental and social risks—climate change, resource scarcity, community issues.
- 5. Stakeholder Engagement**
 - Working with management, regulators, and investors to ensure responsible practices.
- 6. Compliance & Ethical Guidance**
 - Ensuring adherence to laws related to CSR and corporate governance.

2.2 Why Accountants Are Essential in CSR

- They ensure accuracy in sustainability data
 - Maintain credibility through ethical and transparent reporting
 - Help organizations integrate CSR into strategic planning
 - Strengthen accountability across departments
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3. Case Study: ESG Reports of Multinational Firms

3.1 Purpose of Studying Real ESG Reports

- Understand how leading firms report sustainability performance
- Learn different disclosure styles
- Identify best practices and gaps

- Encourage critical analysis of ESG strategies

3.2 Example Multinational Companies & Key Insights

Case 1: Unilever

- Known for sustainable sourcing initiatives
- Reports detailed carbon reduction goals
- Includes social impact metrics (community health, women empowerment)
- Transparent about progress and challenges

Case 2: Tesla

- Strong focus on environmental impact
- Discloses GHG reductions through electric vehicle production
- Faces criticism for governance issues and supply chain transparency
- Shows how ESG can be both a strength and a challenge

Case 3: Apple

- Comprehensive carbon accounting
 - 100% renewable energy for global facilities
 - Tracks supplier responsibility and labor practices
 - Uses TCFD framework for climate-related disclosures
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4. Class Discussion Questions

1. How does green finance support global climate goals?
 2. What is the difference between ESG integration and impact investing?
 3. Why is the accountant's role important in sustainability reporting?
 4. What challenges do multinational firms face when disclosing ESG data?
 5. Which ESG report (Unilever, Tesla, Apple) appears most transparent and why?
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5. Summary of Today's Lecture

- Green finance mobilizes investment for sustainable development.
- Sustainable investments use ESG metrics to guide responsible capital allocation.
- Accountants ensure transparency, reliability, and ethical reporting in CSR initiatives.
- Case studies of top multinational firms highlight diverse ESG strategies and disclosure practices.

Management Accounting Trends II

Course Area: Management Accounting

Lecture Title: Behavioral Issues, Performance Evaluation & Incentive Systems

1. Introduction

Modern management accounting is no longer limited to numbers, budgets, and cost reports. Today, it strongly focuses on **human behavior, motivation, and performance outcomes**. Organizations have realized that even the best-designed accounting systems can fail if they **ignore behavioral aspects**.

This lecture focuses on:

- How human behavior affects management control systems
 - How performance is evaluated in organizations
 - How incentive systems motivate (or demotivate) managers and employees
 - Real-world insights from a Chief Financial Officer (CFO)
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2. Behavioral Issues in Management Control

2.1 Meaning of Behavioral Issues

Behavioral issues refer to **human reactions, attitudes, motivations, and perceptions** that influence how individuals respond to management control systems such as:

- Budgets
- Performance targets
- Reporting systems
- Reward and punishment mechanisms

Management accounting systems influence behavior, and behavior, in turn, affects organizational performance.

2.2 Why Behavioral Issues Matter

- Employees may **manipulate data** to meet targets

- Managers may focus on **short-term results** at the expense of long-term goals
- Poorly designed controls can create **stress, conflict, and unethical behavior**

Key Idea: “What gets measured gets managed – but not always in the desired way.”

2.3 Common Behavioral Problems in Management Control

a) Budgetary Slack

- Managers intentionally **underestimate revenues** or **overestimate costs**
- Done to make targets easier to achieve

Example:

A department manager inflates expected expenses so that actual performance looks better.

b) Short-Term Orientation (Myopia)

- Focus on short-term profits to earn bonuses
 - Ignoring long-term investments (R&D, employee training)
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c) Goal Congruence Issues

- Individual goals may conflict with organizational goals

Example:

A production manager focuses on reducing costs, but this leads to lower product quality, harming the company's reputation.

d) Gaming the System

- Manipulating performance indicators without improving real performance
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e) Ethical Issues

- Pressure to meet targets may encourage:
 - Earnings manipulation
 - Misreporting
 - Ignoring compliance rules
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2.4 Managing Behavioral Issues

- Participative budgeting
 - Clear communication of objectives
 - Balanced performance measures
 - Ethical culture and leadership
 - Non-financial performance indicators
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3. Performance Evaluation

3.1 Meaning of Performance Evaluation

Performance evaluation is the **systematic assessment of how well managers, departments, or employees achieve organizational goals.**

It answers:

- Are objectives being achieved?
 - Are resources being used efficiently?
 - Are managers accountable for controllable factors?
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3.2 Levels of Performance Evaluation

1. **Individual Level** – employee performance
 2. **Departmental Level** – cost, profit, or investment centers
 3. **Organizational Level** – overall firm performance
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3.3 Types of Responsibility Centers

a) Cost Center

- Focus on controlling costs
- Example: Production department

b) Revenue Center

- Focus on generating sales
- Example: Sales department

c) Profit Center

- Responsible for both revenues and costs
- Example: A branch office

d) Investment Center

- Responsible for profit and asset utilization
- Example: Subsidiary company

3.4 Performance Measurement Tools

a) Financial Measures

- ROI (Return on Investment)
- Residual Income
- Profit Margin

b) Non-Financial Measures

- Customer satisfaction
- Employee turnover
- Quality defects
- Delivery time

c) Balanced Scorecard

- Financial Perspective
 - Customer Perspective
 - Internal Business Process
 - Learning and Growth
-

3.5 Problems in Performance Evaluation

- Uncontrollable factors (inflation, exchange rate, regulation)
 - Overemphasis on financial results
 - Subjectivity in appraisal
 - Measurement difficulties
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4. Incentive Systems

4.1 Meaning of Incentive Systems

Incentive systems are **reward mechanisms designed to motivate employees and managers to achieve desired performance.**

They link:

Performance → Reward → Motivation

4.2 Types of Incentives

a) Financial Incentives

- Bonuses
- Profit-sharing
- Commissions
- Stock options

b) Non-Financial Incentives

- Promotion
 - Recognition
 - Job security
 - Training opportunities
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4.3 Designing Effective Incentive Systems

An effective incentive system should be:

- Fair and transparent
 - Linked to controllable performance
 - Aligned with organizational goals
 - Balanced between short-term and long-term objectives
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4.4 Risks of Poor Incentive Systems

- Encourages unethical behavior
- Excessive risk-taking
- Internal competition instead of teamwork
- Focus on numbers rather than value creation

Example:

Sales managers offering heavy discounts at year-end just to meet bonus targets.

5. Guest Lecture: CFO on Real-World Applications

5.1 Role of a CFO in Management Accounting

A CFO:

- Oversees performance measurement systems
 - Designs incentive and reward structures
 - Ensures ethical financial reporting
 - Aligns accounting systems with strategy
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5.2 Key Insights from CFO (Suggested Discussion Points)

- How behavioral issues affect budgeting in practice
 - Challenges in linking performance with incentives
 - Real examples of performance manipulation
 - Use of balanced scorecard in large organizations
 - Importance of ethical leadership in finance
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5.3 Student Interaction Questions for Guest Session

1. How do you prevent budgetary slack in your organization?
 2. What non-financial measures are most important today?
 3. How do you balance short-term profit and long-term growth?
 4. How do incentive systems influence employee behavior?
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6. Summary of the Lecture

- Management accounting is deeply connected with **human behavior**
 - Performance evaluation must be **fair, balanced, and aligned with strategy**
 - Incentive systems are powerful tools but can create risks if poorly designed
 - Real-world insights from CFOs help bridge theory and practice
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Lecturer 21+22:

Emerging Global Issues in Accounting

1. Tax Transparency & Transfer Pricing

- **Definition & Importance:**
 - Tax transparency refers to the openness and clarity with which companies disclose their tax practices and payments to authorities and the public.
 - Transfer pricing involves setting prices for transactions between related entities within a multinational corporation, which can impact where profits are reported and taxes are paid.
- **Global Context:**
 - Increased scrutiny from governments and organizations (e.g., OECD's BEPS project) to prevent profit shifting and tax avoidance.
 - Example: Tech giants like Google and Apple have faced investigations over transfer pricing practices.
- **Discussion Prompt:**
 - How do transfer pricing regulations affect multinational companies' financial reporting?

2. Digital Economy Taxation

- **Challenges:**
 - The rise of digital businesses (e.g., e-commerce, cloud services) complicates traditional tax frameworks, as value creation is less tied to physical presence.
- **Global Responses:**
 - OECD's proposals for a global minimum tax and new rules for taxing digital services.
 - Example: The European Union's Digital Services Tax targeting large tech firms.
- **Implications for Accountants:**
 - Need to understand evolving digital tax laws and advise clients on compliance.

3. Geopolitical & International Trade Issues in Accounting

- **Impact of Geopolitics:**
 - Trade wars, sanctions, and shifting alliances affect cross-border transactions, currency risks, and reporting requirements.

- **Accounting Implications:**
 - Changes in tariffs or trade agreements can alter cost structures and financial disclosures.
 - Example: US-China trade tensions leading to supply chain reconfigurations and new reporting challenges.
- **Discussion Prompt:**
 - How should accountants adapt to rapidly changing international trade environments?

Future of Accounting & Course Wrap-up

1. Changing Role of Accountants in the Age of AI

- **Technological Disruption:**
 - Automation, AI, and big data are transforming traditional accounting tasks (e.g., bookkeeping, auditing).
- **New Opportunities:**
 - Accountants are shifting towards advisory roles, data analytics, and strategic decision-making.
 - Example: Use of AI-powered audit tools to detect anomalies and fraud.

2. Skills Needed for Future Accountants

- **Technical Skills:**
 - Data analytics, familiarity with AI and blockchain, cybersecurity awareness.
- **Soft Skills:**
 - Critical thinking, ethical judgment, communication, adaptability.
- **Professional Development:**
 - Continuous learning through certifications (e.g., CPA, CMA, data analytics courses).

3. Final Group Presentations & Reflection

- **Presentations:**
 - Groups present on selected contemporary accounting issues, demonstrating research, analysis, and practical recommendations.
- **Reflection:**
 - Students reflect on their learning journey, key takeaways, and how they plan to apply new skills in their careers.

Example Implementation for Class

- **Case Study:** Analyze a recent transfer pricing controversy involving a multinational company.
- **Debate:** Should digital services be taxed at the point of consumption or where the company is headquartered?
- **Workshop:** Use AI tools to analyze a sample dataset for potential fraud indicators.
- **Reflection Exercise:** Write a short essay on how the role of accountants will evolve in the next decade.

This structure ensures students gain both theoretical understanding and practical skills, preparing them for the dynamic global accounting landscape.

Class Lecture: Introduction to Accounting Theory, Research and Case Study Analysis

Course: Accounting Theory

Lecture Topic: Nature of Accounting, Theory, Research, and Case Study Approach

Suggested Duration: 2.5–3 hours

Level: BBA/MBA

Learning Objectives

After completing this lecture, students should be able to:

1. Explain the nature of accounting and the changing role of accountants.
 2. Understand why accounting is not simply a mechanical or technical exercise.
 3. Define the term **theory** and explain its different purposes.
 4. Explain why accounting theory is necessary.
 5. Evaluate accounting theories critically.
 6. Explain the relationship between accounting theory and research.
 7. Distinguish between research **of/about accounting** and research **in accounting**.
 8. Identify major areas of accounting research.
 9. Explain the case study approach.
 10. Apply a systematic process to solve accounting case studies.
 11. Exercise professional judgement when evaluating accounting issues.
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1.1 Reflect on the Nature of Accounting and the Role of Accountants

1.1.1 What is Accounting?

Accounting is commonly described as the process of:

Identifying, measuring, recording, classifying, summarising, analysing and communicating economic information to users for decision-making.

However, this definition may make accounting appear to be a purely mechanical process. **Modern accounting is much more than recording transactions.**

Accounting involves:

- identifying economic events;
- determining whether an event should be recognised;

- measuring the economic event;
- selecting appropriate accounting policies;
- making estimates;
- interpreting accounting standards;
- preparing financial statements;
- communicating information;
- exercising professional judgement.

Example

Suppose a company purchases a machine for **Tk. 10 million**.

Recording the purchase may appear straightforward.

But several questions immediately arise:

- What is the useful life of the machine?
- What is its residual value?
- Should depreciation be calculated using the straight-line method or another method?
- Is there evidence of impairment?
- What costs should be included in the machine's initial cost?
- Should borrowing costs be capitalised?
- How should subsequent expenditure on the machine be treated?

Therefore, accounting involves **judgement and interpretation**, not merely arithmetic.

1.1.2 Accounting Is Not a Precise, Uncontested Technical Exercise

One of the most important ideas in accounting theory is:

Accounting is not always an objective process with one universally accepted answer.

Accounting standards provide principles and requirements, but many accounting situations require interpretation.

Why?

Because businesses operate in complex and changing environments.

For example:

- economic conditions change;
- technology changes;
- business models change;
- financial instruments become more complex;
- environmental concerns increase;
- stakeholders demand greater transparency;
- regulations evolve.

Consequently, accountants frequently have to make decisions where **reasonable professionals may reach different conclusions**.

Example: Estimating Bad Debts

Suppose a company has accounts receivable of:

Tk. 100 million

The accountant must estimate how much of the receivable may not be collected.

Should the expected credit loss be:

- Tk. 2 million?
- Tk. 4 million?
- Tk. 6 million?

There may not be a single mathematically "correct" answer.

The accountant must consider:

- historical collection experience;
- customers' financial conditions;
- economic forecasts;
- industry conditions;
- credit risk;
- current and expected future circumstances.

Thus, **professional judgement** becomes essential.

1.1.3 Principles-Based Financial Reporting

Financial reporting requirements are often described as **principles-based**.

A principles-based approach provides broad principles that accountants must apply to particular circumstances.

It differs from an extremely detailed rule-based approach.

Principles-based approach

The accountant asks:

"What accounting treatment best reflects the underlying economic substance and applicable accounting principles?"

Rule-based approach

The accountant may ask:

"Which specific rule applies to this exact situation?"

In practice, modern financial reporting requires accountants to understand both:

- the relevant accounting standards; and
 - the economic substance of the transaction.
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1.1.4 Professional Judgement

Meaning

Professional judgement refers to the informed decision-making of an accountant based on:

- accounting knowledge;
- professional experience;
- evidence;
- accounting standards;
- ethical principles;
- economic circumstances.

Professional judgement does **not** mean personal preference.

A professional judgement should be:

- reasonable;
- evidence-based;
- consistent;
- defensible;
- ethical;
- compliant with relevant standards.

Example

A company owns a building.

The market value of the building has increased significantly.

The accountant must determine:

- whether the applicable accounting framework permits revaluation;
- how the valuation should be performed;
- whether an independent valuer is necessary;
- how the revaluation should be presented.

This requires professional judgement.

1.1.5 The Changing Role of Accountants

Historically, accountants were often viewed primarily as:

"Number recorders."

The modern accountant is increasingly viewed as:

"A business information and decision-support professional."

Traditional role

Accountants primarily:

- recorded transactions;

- maintained ledgers;
- prepared financial statements;
- calculated taxes;
- prepared budgets.

Modern role

Accountants increasingly:

- analyse business data;
 - support strategic decisions;
 - advise management;
 - evaluate risks;
 - analyse sustainability performance;
 - participate in corporate governance;
 - use artificial intelligence;
 - work with big data;
 - support digital transformation;
 - provide assurance;
 - interpret complex regulations.
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Factors Changing the Role of Accountants

1. Increasing business complexity

Modern businesses operate across:

- multiple countries;
- digital platforms;
- complex supply chains;
- financial markets;
- sophisticated financial instruments.

2. Technological development

Technology such as:

- Artificial Intelligence (AI);
- Machine Learning;
- Blockchain;
- Cloud Accounting;
- Big Data Analytics;

- Enterprise Resource Planning (ERP)

is changing accounting work.

3. Increased stakeholder expectations

Stakeholders increasingly expect companies to provide information about:

- environmental performance;
- employee welfare;
- governance;
- climate-related risks;
- social responsibility;
- sustainability.

4. Regulatory changes

Accountants must continuously respond to:

- new accounting standards;
 - tax regulations;
 - corporate laws;
 - governance requirements;
 - sustainability reporting requirements.
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1.2 Define "Theory"

What is a Theory?

There is **no single universally accepted definition of theory**.

This is because theories perform different functions.

A theory can:

1. **Describe**
 2. **Explain**
 3. **Predict**
 4. **Prescribe**
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1.2.1 Theory as Description

A descriptive theory explains **what happens**.

Example

A theory may describe:

"Companies tend to disclose more information when they are larger."

The theory is describing an observed relationship.

1.2.2 Theory as Explanation

An explanatory theory explains **why something happens**.

Example

Why might larger companies disclose more information?

Possible explanation:

- They have more stakeholders.
 - They face greater public scrutiny.
 - They have greater resources for disclosure.
 - They want to reduce information asymmetry.
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1.2.3 Theory as Prediction

A predictive theory attempts to explain:

What is likely to happen in the future?

Example

If a theory suggests that companies with high political visibility provide greater disclosure, researchers may predict:

Companies experiencing increased public attention will increase their level of corporate disclosure.

1.2.4 Theory as Prescription

A prescriptive theory tells us:

What should be done.

Example

A theory may suggest:

Financial reporting should provide information that is relevant and faithfully represents economic events.

This is not merely describing what companies currently do. It provides guidance regarding **what companies ought to do**.

Definition of Accounting Theory

For this course, accounting theory can be understood as:

A description, explanation or prediction of accounting practice, or a set of principles used to evaluate or guide accounting practice.

This definition is important because accounting theory is concerned not only with **what accountants do**, but also with:

- why they do it;
 - what may happen as a result;
 - whether current practices are appropriate;
 - how accounting practices could be improved.
-

1.3 Why Is Theory Needed?

A fundamental question is:

Why do we need accounting theory?

The simple answer is:

Theory helps us understand, evaluate and improve accounting practice.

1.3.1 Theory Helps Us Understand the World

Without theory, we may observe events without understanding their underlying relationships.

For example:

We observe that companies voluntarily disclose sustainability information.

Theory helps us ask:

- Why do they disclose it?
 - Who benefits?
 - What motivates management?
 - Does disclosure improve transparency?
 - Does disclosure reduce information asymmetry?
 - Is disclosure primarily voluntary or strategically motivated?
-

1.3.2 Theory Helps Explain Accounting Practice

Theory can explain:

- why companies select particular accounting policies;
 - why some companies disclose more information;
 - why managers make particular accounting choices;
 - why investors respond to accounting information;
 - why accounting standards change.
-

1.3.3 Theory Helps Predict Behaviour

Theory can help predict how:

- managers may respond to accounting standards;
 - investors may respond to financial information;
 - companies may change disclosure practices;
 - firms may react to regulatory changes.
-

1.3.4 Theory Helps Guide Decisions

Accounting theory can provide principles for deciding:

- what information should be reported;
 - how information should be measured;
 - how transactions should be presented;
 - what disclosures stakeholders need.
-

1.3.5 Theory Helps Identify Problems

Existing accounting practices may have weaknesses.

Theory can help identify:

- information gaps;
 - measurement problems;
 - inconsistencies;
 - inappropriate incentives;
 - lack of transparency;
 - conflicts between stakeholders.
-

1.3.6 Theory Helps Suggest Improvements

After identifying problems, theory may provide suggestions for:

- changing accounting standards;
- improving disclosure;
- improving measurement;
- improving governance;

- enhancing transparency.
-

Why Do People Accept Theories?

In everyday life, people often accept theories without personally testing them.

There are several reasons.

1. Authority of the Source

People tend to believe information from authoritative sources.

For example:

- professional accounting bodies;
- recognised researchers;
- universities;
- regulators;
- standard-setting organisations.

Important point

Authority can increase credibility, but **authority alone does not prove that a theory is correct.**

2. Personal Experience and Beliefs

People may accept a theory because it:

- makes sense to them;
- agrees with their experience;
- fits their existing beliefs.

Example

A manager may believe:

"Employees perform better when they receive performance-based incentives."

If the manager has personally experienced this, the manager may readily accept the underlying theory.

But personal experience is not necessarily sufficient scientific evidence.

3. Acceptance by Others

People may accept a theory because:

- academics support it;
- professionals use it;
- organisations adopt it;
- society generally accepts it.

This is sometimes referred to as **social acceptance**.

Again, widespread acceptance does not automatically mean that a theory is correct.

Evaluating Theories

Researchers and professionals should use more legitimate and independent methods.

Two important approaches are:

1. Examine the logical construction of the theory

Ask:

- Are the assumptions reasonable?
- Are the arguments logically connected?
- Are the concepts clearly defined?
- Does the conclusion follow from the assumptions?

2. Examine supporting and contradictory evidence

Ask:

- What evidence supports the theory?
- What evidence contradicts it?

- Can the theory be tested?
 - Are the research methods reliable?
 - Are alternative explanations possible?
-

Example of Theory Evaluation

Suppose someone claims:

"Companies that disclose more sustainability information always have higher profitability."

We should not simply accept the statement.

We should ask:

- What evidence supports the claim?
- How is "sustainability disclosure" measured?
- How is profitability measured?
- How large is the sample?
- Are there other factors influencing profitability?
- Does the relationship exist across industries?
- Does correlation mean causation?

This is the essence of **critical thinking**.

1.4 Nature of Research and Its Relationship to Theory

What is Research?

Research can be defined as:

A systematic investigation undertaken to discover, establish, test or develop knowledge.

Research involves:

1. identifying a problem;
2. developing research questions;

3. reviewing existing knowledge;
 4. developing theoretical ideas;
 5. collecting evidence;
 6. analysing evidence;
 7. interpreting results;
 8. drawing conclusions.
-

Relationship Between Theory and Research

Theory and research have a **two-way relationship**.

Theory → Research

Theory can provide:

- research questions;
- hypotheses;
- variables;
- explanations;
- conceptual frameworks.

Research → Theory

Research can:

- test existing theories;
- support theories;
- challenge theories;
- modify theories;
- develop new theories.

Therefore:

Theory guides research, while research tests and develops theory.

Simple Relationship

Theory



Research Question



Research Design



Data Collection



Data Analysis



Findings



Theory Supported / Modified / Rejected / Extended

Research in Financial Accounting

Research in financial accounting contributes to knowledge about:

- financial reporting;
- accounting standards;
- investor decisions;
- management behaviour;
- disclosure;
- accounting policies;
- capital markets;
- international reporting;
- sustainability reporting.

Research can ultimately contribute to changes in:

- accounting standards;

- corporate reporting;
 - accounting education;
 - professional practice;
 - regulatory policies.
-

Research "OF/ABOUT" Accounting vs Research "IN" Accounting

This distinction is particularly important.

Research OF or ABOUT Accounting

This examines **accounting itself as a social and economic phenomenon**.

It takes a broader, macro-level perspective.

Questions might include:

- Why does society need accounting?
- How does accounting influence organisations?
- How does accounting affect social behaviour?
- How does accounting influence power relationships?
- What role does accounting play in society?

Example

How does corporate sustainability reporting influence public perceptions of large companies?

This examines the broader role of accounting in society.

Research IN Accounting

Research **in accounting** generally focuses on specific accounting problems or issues.

It is more closely associated with the micro level.

Examples

- How does depreciation method affect reported profit?
 - Why do firms select particular accounting policies?
 - How do investors respond to earnings announcements?
 - Does audit quality affect financial reporting quality?
 - How does accounting information affect investment decisions?
-

Comparison

Research of/about accounting	Research in accounting
Broader perspective	More specific perspective
Macro-level focus	Micro-level focus
Examines accounting's role in society	Examines issues within accounting
Social/economic context	Accounting practices and processes
"What role does accounting play?"	"How does this accounting practice work?"

1.5 Major Research Areas in Accounting

Several important research areas have developed in accounting.

1. Capital Market Research

Meaning

Capital market research examines the relationship between:

Accounting information and capital market behaviour.

It investigates how investors and financial markets respond to accounting information.

Examples

Researchers may examine:

- earnings announcements;
- annual reports;
- dividend announcements;
- accounting policy changes;
- sustainability disclosures.

Research question

Does the announcement of unexpectedly high earnings affect a company's share price?

If investors consider the information useful, the share price may respond.

2. Accounting Policy Choice Research

Companies sometimes have choices among acceptable accounting methods.

Researchers investigate:

Why do managers select one accounting policy instead of another?

Possible influences

- taxation;
- bonus arrangements;
- debt agreements;
- political pressure;
- management incentives;
- investor expectations;
- regulatory requirements.

Example

A company may have different acceptable methods for measuring or presenting certain accounting items.

Researchers may investigate why management prefers one method.

3. Accounting Information Processing Research

This area examines:

How users process and understand accounting information.

Users include:

- investors;
- managers;
- creditors;
- auditors;
- employees;
- regulators.

Questions

- Can investors understand complex financial reports?
- Does presentation format affect decisions?
- Does too much disclosure reduce usefulness?
- How does digital reporting affect information processing?

Example

A financial statement may contain 50 pages of information.

Does additional information necessarily improve decision-making?

Not always.

Information can suffer from:

Information overload.

4. Critical Accounting Research

Critical accounting research examines accounting from broader perspectives involving:

- power;
- politics;
- society;

- inequality;
- institutions;
- ideology;
- social consequences.

It challenges the assumption that accounting is always neutral.

Example

A critical accounting researcher may ask:

Who benefits from a particular accounting system?

or:

How does accounting contribute to organisational power?

This approach views accounting as something that can influence behaviour and social relationships.

5. International Accounting Research

International accounting research examines accounting across countries.

It may investigate:

- differences in accounting standards;
- international financial reporting;
- cultural influences;
- multinational companies;
- cross-country disclosure;
- international convergence.

Example

Researchers might compare:

Sustainability reporting practices of listed companies in Bangladesh, India and the United Kingdom.

1.6 Understanding the Case Study Approach

What is a Case Study?

A case study is:

A detailed description and analysis of a particular scenario, organisation, event or situation within a specific context.

A case study allows students to move from:

Theory → Application

Why Are Case Studies Important?

Case studies help students:

1. Integrate knowledge

Students combine concepts from different areas.

2. Apply theory

Students use theoretical knowledge to solve practical problems.

3. Develop analytical skills

Students learn to:

- identify problems;
- analyse evidence;
- compare alternatives;
- evaluate consequences.

4. Develop critical thinking

Students learn to ask:

- What is the real problem?
- What evidence exists?
- What assumptions are being made?

- Are there alternative explanations?

5. Develop professional judgement

Real accounting problems often do not have a single obvious answer.

Students must therefore learn to make:

Reasoned, evidence-based professional judgements.

Case Study Example

Scenario

ABC Garments Ltd. is a large Bangladeshi apparel manufacturer.

The company has recently invested Tk. 500 million in environmentally friendly production technology.

Management wants to present the investment as a major achievement in its annual report.

The company also claims that the investment:

- reduces energy consumption;
- reduces carbon emissions;
- improves production efficiency;
- strengthens its reputation among international buyers.

Questions for Students

1. What accounting issues arise?
 2. Which accounting standards or principles may be relevant?
 3. What information should be disclosed?
 4. Which claims require supporting evidence?
 5. Could sustainability information influence investors?
 6. What professional judgement is required?
 7. What alternative reporting approaches are available?
 8. What are the consequences of each alternative?
-

Systematic Approach to Answering Case Studies

Students should avoid immediately jumping to a conclusion.

A structured approach should be followed.

Step 1: Understand the Case

Read the case carefully.

Identify:

- organisation;
 - stakeholders;
 - events;
 - dates;
 - financial information;
 - accounting issues;
 - relevant circumstances.
-

Step 2: Identify the Main Problem

Ask:

What is the central accounting problem?

There may be several issues.

Separate them into:

- primary issues;
 - secondary issues.
-

Step 3: Identify Relevant Theories and Concepts

Determine which accounting theories or concepts apply.

Possible areas include:

- positive accounting theory;

- normative accounting theory;
 - decision usefulness;
 - agency theory;
 - legitimacy theory;
 - stakeholder theory;
 - accounting information theory;
 - professional ethics.
-

Step 4: Identify Relevant Accounting Standards

Determine which accounting requirements apply.

For example:

- recognition;
- measurement;
- presentation;
- disclosure.

Students should not simply mention standards. They should explain **why** the standard is relevant.

Step 5: Identify Stakeholders

Possible stakeholders include:

- shareholders;
 - managers;
 - employees;
 - creditors;
 - government;
 - regulators;
 - customers;
 - suppliers;
 - communities;
 - investors.
-

Step 6: Develop Alternatives

Ask:

What different courses of action are available?

For example:

Alternative A: Recognise an item.

Alternative B: Do not recognise it but disclose it.

Alternative C: Provide additional explanatory information.

Step 7: Evaluate the Alternatives

Each alternative should be evaluated based on:

- accounting principles;
 - evidence;
 - financial consequences;
 - ethical considerations;
 - stakeholder impact;
 - risks;
 - reliability;
 - relevance.
-

Step 8: Make a Recommendation

The final recommendation should be:

- clear;
 - justified;
 - evidence-based;
 - consistent with accounting principles;
 - professionally defensible.
-

Step 9: Explain the Consequences

A strong case answer should discuss the consequences of the recommendation.

Consider:

Financial consequences

- profit;
- assets;
- liabilities;
- equity;
- cash flows.

Non-financial consequences

- reputation;
 - investor confidence;
 - employee relations;
 - environmental impact;
 - stakeholder trust.
-

A Useful Case Study Answer Framework

Students can remember:

P-A-A-R

P = Problem

Identify the problem.

A = Analysis

Apply theories, standards and evidence.

A = Alternatives

Identify and evaluate possible solutions.

R = Recommendation

Provide a justified conclusion.

Integrated Example

Case

A listed company discovers that one of its major customers is experiencing serious financial difficulties. Management believes the customer will eventually pay its outstanding receivable.

The receivable is **Tk. 20 million**.

Management wants to avoid recognising a large expected credit loss because doing so would significantly reduce reported profit.

Step 1: Problem

The key issue is:

Whether the company should recognise an appropriate allowance/expected credit loss for the receivable.

Step 2: Analysis

Students should consider:

- relevant financial reporting requirements;
- evidence about the customer's financial condition;
- historical collection patterns;
- expected future cash flows;
- management bias;
- professional judgement.

Step 3: Alternatives

Alternative 1: Recognise the estimated loss.

Alternative 2: Recognise a smaller loss based on supportable evidence.

Alternative 3: Fail to recognise the loss.

The third alternative would require particularly strong justification and may conflict with applicable reporting requirements.

Step 4: Recommendation

The accountant should determine the expected credit loss based on **objective and supportable evidence**, rather than management's desire to maintain reported profit.

Key Concept: Accounting Is Both Technical and Judgemental

This entire lecture can be connected through one central idea:

Accounting combines technical knowledge with professional judgement.

The accountant must understand:

Standards + Theory + Evidence + Ethics + Professional Judgement

to make appropriate decisions.

Accounting Theory and Professional Practice

Accounting theory is not merely an academic subject.

It helps practising accountants understand:

What?

What accounting practices exist?

Why?

Why do these practices exist?

How?

How should accounting practices be applied?

What if?

What might happen if a particular accounting method is adopted?

Should?

Is the current practice appropriate, ethical and useful?

This makes accounting theory directly relevant to professional accounting.

Summary of the Six Learning Areas

Section	Key Learning
1.1 Nature of Accounting	Accounting involves judgement, interpretation and professional responsibility
1.2 Theory	Theory can describe, explain, predict and prescribe
1.3 Need for Theory	Theory helps understand, evaluate and improve accounting practice
1.4 Research & Theory	Research tests, develops and informs theory
1.5 Research Areas	Capital markets, policy choice, information processing, critical and international accounting
1.6 Case Studies	Case studies integrate knowledge and develop analytical and professional judgement

Important Terms for Students

Students should be familiar with the following terms:

- Accounting
- Financial accounting
- Professional judgement
- Principles-based accounting
- Accounting theory
- Descriptive theory
- Explanatory theory

- Predictive theory
 - Prescriptive theory
 - Accounting research
 - Research methodology
 - Capital market research
 - Accounting policy choice
 - Information processing
 - Critical accounting research
 - International accounting research
 - Case study
 - Critical thinking
 - Professional judgement
 - Stakeholders
 - Evidence
 - Accounting standards
-

Discussion Questions for the Classroom

Question 1

Is accounting an exact science? Why or why not?

Question 2

Can two professional accountants reach different conclusions about the same accounting problem? Explain.

Question 3

Why is professional judgement important in financial reporting?

Question 4

How has technology changed the role of accountants?

Question 5

What is the difference between a descriptive and prescriptive theory?

Question 6

Why should accountants critically evaluate theories rather than simply accept them?

Question 7

How does research contribute to accounting theory?

Question 8

What is the difference between research "of/about accounting" and research "in accounting"?

Question 9

Why are capital markets important to accounting researchers?

Question 10

Why are case studies useful for accounting students and professionals?

Short Classroom Activity

Activity: "Should the Accountant Agree?"

Divide the class into three groups.

Situation

A company's management wants to select an accounting treatment that will produce **higher reported profit**, while another acceptable treatment would produce **lower profit**.

Group 1 – Management

Argue why the higher-profit treatment should be selected.

Group 2 – Accountant

Evaluate the alternatives based on:

- standards;
- evidence;
- professional judgement;

- ethics.

Group 3 – Investor

Explain what information you would need before making an investment decision.

Final Discussion

Ask students:

"Should accounting be designed primarily to satisfy management, investors, regulators, or all stakeholders?"

This activity can lead naturally into later topics such as **normative accounting theory, positive accounting theory, decision usefulness, agency theory and stakeholder theory.**

Final Takeaway

The most important message from this lecture is:

Accounting is not simply the mechanical recording of numbers. It is a discipline that combines principles, theory, evidence, professional judgement and ethical responsibility.

Accounting theory helps us understand **why accounting practices exist**, research helps us **test and develop our understanding**, and case studies help us **apply that knowledge to real-world accounting problems.**

Therefore, a competent accountant should not ask only:

"What does the accounting standard say?"

A stronger professional question is:

"What is the underlying economic reality, what principles apply, what evidence is available, what alternatives exist, and which accounting treatment can I professionally justify?"

Integrated Reporting, Intellectual Capital & Value Chain

MBA Lecture | Contemporary Issues
in Accounting

What is Integrated Reporting?

- Integrated Reporting communicates how an organization creates, preserves or erodes value over time.
- It connects strategy, governance, performance, risks, opportunities and prospects.
- The focus is not simply on combining financial and sustainability reports.
- IR encourages management to explain the relationships among different resources and business activities.

Integrated Thinking

- Integrated thinking is the active consideration of relationships between organizational units, resources and capitals.
- It links strategy, risk, performance, resource allocation and reporting.
- Example: investment in employee training may affect productivity, quality, customer satisfaction and future financial performance.
- IR is therefore both a reporting approach and a management discipline.

The Six Capitals

- Financial capital – funds available to the organization.
- Manufactured capital – buildings, equipment, infrastructure and production facilities.
- Intellectual capital – knowledge-based intangibles, systems, processes and intellectual property.
- Human capital – people's skills, experience, motivation and capabilities.
- Social and relationship capital – trust, networks, relationships and shared norms.
- Natural capital – environmental resources and ecosystem services.

The Value Creation Process

- Inputs → Business model → Business activities → Outputs → Outcomes → Value creation over time.
- Organizations use and transform multiple capitals through their business model.
- Value may be created, preserved, diminished or transformed.
- Value creation should be considered for the organization and for other stakeholders.

IR: Core Content Areas

- Organizational overview and external environment.
- Governance.
- Business model.
- Risks and opportunities.
- Strategy and resource allocation.
- Performance.
- Outlook.
- Basis of preparation and presentation.

Key IR Principles

- Strategic focus and future orientation.
- Connectivity of information.
- Stakeholder relationships.
- Materiality.
- Conciseness.
- Reliability and completeness.
- Consistency and comparability.

Materiality in Integrated Reporting

- Material information can reasonably be expected to influence value-creation assessments.
- Materiality requires management to identify relevant matters, evaluate their importance and prioritize disclosure.
- Not every ESG or operational indicator belongs in the report.
- Materiality should reflect strategy, risks, opportunities and stakeholder perspectives.

Connectivity of Information

- IR should show relationships rather than isolated indicators.
- Example: climate risk → energy efficiency investment → lower emissions → cost savings → reputation → long-term resilience.
- Connectivity helps users understand cause-and-effect relationships.
- It also reduces the risk of fragmented reporting.

Benefits of Integrated Reporting

- Improves strategic communication.
- Encourages integrated thinking and better resource allocation.
- Makes links between financial and non-financial performance clearer.
- Supports long-term investor and stakeholder decision-making.
- Can improve understanding of risks, opportunities and business resilience.

Challenges of Integrated Reporting

- Difficulties in measuring intangible and non-financial resources.
- Data quality, consistency and assurance challenges.
- Risk of boilerplate disclosures.
- Management resistance and information silos.
- Need for cross-functional coordination.
- Balancing conciseness with sufficient decision-useful information.

What is Intellectual Capital?

- Intellectual capital represents knowledge-based resources and capabilities that support value creation.
- It is often poorly reflected in traditional balance sheets.
- It can provide competitive advantage even when physical assets are similar across competitors.
- Examples: expertise, patents, software, organizational routines, brands and relationships.

Three Major Components of Intellectual Capital

- Human capital – employee knowledge, skills, experience, creativity and leadership.
- Structural/organizational capital – processes, databases, systems, culture, patents and routines.
- Relational capital – customer relationships, supplier relationships, reputation, alliances and networks.

Human Capital

- Competence: knowledge, technical skills and professional expertise.
- Experience: accumulated learning and problem-solving capability.
- Innovation: creativity, experimentation and idea generation.
- Leadership: ability to coordinate people and resources.
- Engagement and culture can influence retention, productivity and service quality.

Structural Capital

- Organizational processes and routines.
- Information systems, databases and analytics capabilities.
- Patents, copyrights, software and proprietary technologies.
- Organizational culture and institutional knowledge.
- Structural capital remains with the organization even when individual employees leave.

Relational Capital

- Customer loyalty and satisfaction.
- Supplier partnerships and supply-chain coordination.
- Brand reputation and stakeholder trust.
- Strategic alliances and networks.
- Community and regulatory relationships.

Why Intellectual Capital is Difficult to Account For

- Many intangible resources do not meet traditional recognition criteria.
- Future benefits may be uncertain or difficult to measure reliably.
- Internally generated knowledge and reputation may not appear as assets.
- Some intangibles are inseparable from the organization's people and processes.
- Therefore, narrative and non-financial disclosures can complement financial statements.

Possible Intellectual Capital Indicators

- Human: training hours, employee turnover, expertise, engagement.
- Structural: patents, process cycle time, system availability, innovation projects.
- Relational: retention rate, customer satisfaction, complaints, supplier reliability.
- Important: indicators should be linked to strategy and material value drivers.

What is a Value Chain?

- A value chain describes activities through which an organization obtains inputs, transforms them and delivers value to customers and other stakeholders.
- It includes internal activities and external relationships.
- Value-chain analysis examines where value is added, costs arise, risks accumulate and competitive advantage is created.

Porter's Value Chain – Primary Activities

- Inbound logistics – receiving, storing and managing inputs.
- Operations – converting inputs into products or services.
- Outbound logistics – storing and distributing outputs.
- Marketing & sales – communicating value and generating demand.
- Service – supporting customers after purchase.

Porter's Value Chain – Support Activities

- Firm infrastructure – governance, finance, planning and legal functions.
- Human resource management – recruitment, training and retention.
- Technology development – R&D, IT, analytics and process innovation.
- Procurement – sourcing materials, services and technologies.

Value Chain vs. Supply Chain

- Supply chain emphasizes the flow and coordination of materials, information and products.
- Value chain focuses more broadly on how activities contribute to customer and organizational value.
- Value-chain analysis can include suppliers, partners, customers and other stakeholders.
- Both perspectives are useful for cost management, risk management and sustainability.

Accounting and the Value Chain

- Traditional accounting often focuses on transactions within the organization.
- Value-chain accounting looks upstream and downstream.
- Management accountants can identify cost drivers, profitability by activity and inter-organizational risks.
- Relevant tools include activity-based costing, target costing, life-cycle costing and strategic cost management.

Integrated Reporting + Intellectual Capital

- IR provides a framework for explaining how intellectual capital supports value creation.
- Human capital can drive innovation and service quality.
- Structural capital can convert individual knowledge into organizational capability.
- Relational capital can strengthen market access, trust and customer loyalty.
- The key is to connect resources with outcomes rather than simply listing them.

Integrated Reporting + Value Chain

- IR can explain how value is created across key activities and relationships.
- Material value-chain risks can be linked to strategy and governance.
- Environmental and social impacts can be considered alongside financial effects.
- Disclosures can highlight resilience, dependency on suppliers and customer relationships.

The Integrated Perspective

- Intellectual capital = important knowledge-based resources.
- Value chain = activities and relationships through which resources are transformed into value.
- Integrated reporting = communication of how resources, activities, strategy and outcomes connect.
- Together they provide a broader picture of organizational value creation.

Illustrative Example: Bangladesh RMG Industry

- Human capital: skilled workers, supervisors, engineers and compliance teams.
- Structural capital: production systems, quality systems, ERP, compliance processes.
- Relational capital: international buyers, suppliers, regulators and worker representatives.
- Value chain: cotton/fabric sourcing → production → quality → logistics → global buyers.
- IR perspective: explain financial performance together with workforce, environmental, supply-chain and resilience factors.

Illustrative Example: A Bank

- Human capital: relationship managers, analysts, risk professionals and IT specialists.
- Structural capital: core banking systems, risk models, cybersecurity and data infrastructure.
- Relational capital: depositors, borrowers, regulators and correspondent institutions.
- Value creation depends heavily on trust, information, technology and risk management.
- IR can connect these capitals to profitability, resilience and stakeholder outcomes.

ESG and Integrated Reporting

- Environmental, social and governance matters can affect multiple capitals.
- Example: energy efficiency can reduce environmental impact while lowering operating costs.
- Employee wellbeing can influence human capital, productivity and reputation.
- Strong governance can strengthen trust, risk management and access to capital.

Technology and the Future of Value Creation

- AI and analytics can transform human and structural capital.
- Digital platforms can reshape customer and supplier relationships.
- Cloud systems can change cost structures and scalability.
- Cybersecurity is increasingly a value-chain and governance issue.
- Organizations need reporting that explains both opportunities and technology-related risks.

Assurance and Credibility

- Integrated and non-financial information must be reliable to support decisions.
- Organizations need robust internal controls, data governance and clear measurement methodologies.
- External assurance can increase stakeholder confidence.
- The credibility challenge is greater when indicators involve estimates or qualitative judgments.

Mini Case for Classroom Discussion

- A manufacturing company plans to automate a production line.
- Financial effect: higher capital expenditure but potentially lower unit costs.
- Human capital effect: reskilling and possible workforce displacement.
- Structural capital effect: stronger automation and data capabilities.
- Relational effect: possible changes in supplier/customer expectations.
- Question: How should management explain the decision through an integrated-reporting lens?

Discussion Questions

- Why can financial statements alone fail to explain long-term value creation?
- Which form of intellectual capital is most important in a service organization? Why?
- How can value-chain analysis reveal risks that are invisible in internal accounting reports?
- Should all ESG indicators be included in an integrated report? Explain.
- What challenges might Bangladeshi companies face in implementing integrated reporting?

Key Takeaways

- Integrated Reporting explains how an organization creates value over time.
- The six capitals provide a broad lens for understanding resources and dependencies.
- Intellectual capital is a major source of modern competitive advantage.
- Value-chain analysis connects organizational activities with costs, benefits, risks and stakeholders.
- Integrated thinking links strategy, capitals, value-chain activities and performance.
- The ultimate objective is better decision-making and clearer communication of value creation.

Forensic Accounting, Cyber Fraud and Financial Crime Investigation

MBA Lecture

Accounting / Contemporary Issues in Accounting

Learning Objectives

Define forensic accounting, cyber fraud and financial crime.

Explain major types and red flags of financial fraud.

Understand the forensic investigation process.

Identify common cyber-fraud techniques and digital evidence.

Discuss prevention, internal controls and professional responsibilities.

1. What is Forensic Accounting?

Application of accounting, auditing and investigative skills to examine financial information.

Focuses on identifying fraud, misconduct, financial disputes and hidden transactions.

Produces evidence that may be used in litigation, disciplinary action or regulatory proceedings.

Combines accounting knowledge with investigation, analytics and critical thinking.

Forensic Accounting vs. Traditional Auditing

Traditional audit: provides reasonable assurance that financial statements are fairly presented.

Forensic accounting: investigates specific suspicions, allegations or financial disputes.

Audit is generally assurance-oriented; forensic work is evidence- and investigation-oriented.

Forensic accountants often reconstruct transactions and quantify financial losses.

2. Major Types of Financial Crime

Fraudulent financial reporting

Asset misappropriation and embezzlement

Bribery and corruption

Money laundering

Tax evasion and financial statement manipulation

Insider abuse and procurement fraud

Cyber-enabled financial crime

Fraud Triangle

Pressure / incentive — financial or personal motivation.

Opportunity — weak controls, poor oversight or unrestricted access.

Rationalization — justification such as 'I deserve it' or 'I will repay it.'

Fraud risk increases when all three elements are present.

Modern fraud-risk models also emphasize capability and organizational culture.

Common Fraud Schemes

Revenue inflation or premature revenue recognition

Fictitious vendors and fake invoices

Payroll manipulation and ghost employees

Expense reimbursement fraud

Inventory theft or fictitious inventory

Related-party concealment

Unauthorized payments and kickbacks

3. Red Flags of Financial Fraud

- Unusual journal entries, especially near period-end
- Rapid unexplained growth in revenue or margins
- Missing documents or inconsistent supporting evidence
- Repeated control overrides by senior employees
- Unusual related-party transactions
- Lifestyle inconsistent with known income
- Complaints, whistleblower reports or management pressure

4. Cyber Fraud: Meaning

Cyber fraud is fraud committed or enabled through computers, networks, digital platforms or online communication.

It can target individuals, companies, banks, payment systems and government organizations.

Technology increases the speed, scale and geographic reach of fraud.

Cyber fraud often overlaps with identity theft, social engineering and payment fraud.

Major Cyber-Fraud Techniques

Phishing and spear-phishing

Business email compromise (BEC)

Credential theft and account takeover

Malware and ransomware-enabled fraud

Fake websites, payment links and online investment scams

SIM-related or mobile-account attacks

Deepfake-enabled impersonation

Business Email Compromise (BEC)

Attacker impersonates an executive, supplier or trusted contact.

Victim is pressured to make a payment or change bank-account details.

Attack may exploit stolen credentials or compromised email accounts.

Red flags: urgency, secrecy, unusual payment instructions and changed beneficiary details.

Control: independent verification using a trusted communication channel.

5. Financial Crime Investigation: Overview

1. Receive allegation / identify trigger
2. Define scope and objectives
3. Preserve documents and digital evidence
4. Collect accounting, banking and electronic records
5. Analyze transactions and identify anomalies
6. Interview relevant persons
7. Corroborate evidence and quantify loss
8. Report findings and support legal/regulatory action

Evidence in a Forensic Investigation

Accounting records: ledgers, journals, invoices and bank reconciliations

Bank and payment records

Emails, messages and electronic files

Access logs, system logs and metadata

Contracts, procurement documents and approvals

Interview statements and independent confirmations

Evidence must be authentic, relevant, reliable and properly preserved.

Digital Forensics and Chain of Custody

Digital forensics involves identifying, preserving, examining and reporting digital evidence.

Original evidence should be protected from alteration.

Document who collected evidence, when, where, how and what was done with it.

Use forensic copies/images where appropriate.

Maintain a clear chain of custody so evidence can withstand scrutiny.

6. Data Analytics in Forensic Accounting

Benford's Law analysis for unusual numerical patterns

Duplicate invoice / payment detection

Round-number and weekend/holiday transaction analysis

Trend and ratio analysis

Vendor and employee relationship analysis

Outlier detection and continuous monitoring

Network analysis can reveal hidden links among accounts, vendors and individuals.

Investigative Interviewing

Plan interviews around known facts and evidence gaps.

Start with open-ended questions before presenting detailed evidence.

Listen for inconsistencies, omissions and changes in explanations.

Avoid leading or accusatory questions unnecessarily.

Corroborate statements with independent records.

Document interviews carefully and follow applicable legal/organizational procedures.

7. Quantifying Financial Loss

Determine the period and transactions affected.

Separate actual loss from unsupported estimates.

Trace funds and identify recovered amounts.

Consider direct loss, avoided loss and relevant consequential effects where legally appropriate.

Use transparent assumptions and reproducible calculations.

Maintain schedules that allow another professional to verify the conclusion.

Internal Controls to Prevent Fraud & Cyber Fraud

Segregation of duties

Authorization and approval controls

Bank-account and vendor master-file controls

Multi-factor authentication and least-privilege access

Regular reconciliation and exception reporting

Employee awareness and phishing training

Whistleblowing channels and independent investigation

Continuous monitoring of high-risk transactions

Case Discussion: Suspicious Vendor Payments

A company discovers repeated payments to a new vendor.

The vendor shares an address or bank details with an employee.

Several invoices are just below the approval threshold.

Questions for students:

- What are the red flags?
- What records should investigators obtain?
- How would you test whether the vendor is genuine?
- How could the company prevent recurrence?

Bangladesh Perspective

Relevant risk areas include procurement fraud, loan and credit fraud, tax-related misconduct, corruption, money laundering and digital payment fraud.

Organizations should consider Bangladesh's applicable anti-money-laundering, anti-corruption, cyber and financial-sector requirements.

Banks, NBFIs, listed companies and large organizations need strong transaction monitoring and governance.

Investigations should involve appropriate legal, regulatory, audit and law-enforcement channels when required.

Ethical & Professional Issues

Maintain independence, objectivity and professional skepticism.

Protect confidential information and personal data.

Do not alter, destroy or improperly disclose evidence.

Clearly distinguish facts, assumptions, analysis and professional opinions.

Avoid conflicts of interest.

Follow applicable professional standards, laws and court/regulatory requirements.

Key Takeaways

Forensic accounting is broader than fraud detection: it is an evidence-based investigative discipline.

Cyber fraud changes how financial crimes are committed and concealed.

Strong accounting controls plus cybersecurity controls are both necessary.

Data analytics can identify anomalies, but human investigation is needed to establish context.

Good documentation and evidence preservation are critical to a defensible investigation.

Class Activity / Discussion Questions

1. How does forensic accounting differ from external auditing?
2. Explain the fraud triangle with a practical example.
3. What are five red flags of fraudulent financial reporting?
4. How can BEC cause a financial loss?
5. What is chain of custody and why does it matter?
6. Design five controls for preventing vendor-payment fraud.
7. How can data analytics support a fraud investigation?

Suggested References

Association of Certified Fraud Examiners (ACFE), Occupational Fraud resources

International Auditing and Assurance Standards Board (IAASB) standards

ISO/IEC 27001 information security management guidance

FATF resources on money laundering and financial crime

Relevant Bangladesh laws, regulations and guidance from competent authorities

Professional forensic-accounting and digital-forensics literature